should yield to more flexible inflation-targeting, meaning that monetary policy should shift from just stabilizing inflation alone to stabilizing both inflation around the inflation target and real activity in the economy at its potential level, while simultaneously keeping an eye on financial stability.

Inflation-targeting in India

Coincidentally, in India too, a debate about inflation-targeting started picking up momentum at around the same time, triggered, in part, by two high-profile committee reports, one by Percy Mistry, and the other by Raghuram Rajan. While Mistry strongly urged that the gold standard for stabilizing monetary policy is a transparent, independent inflation-targeting central bank, Rajan held that reorienting the Reserve Bank towards inflation-targeting will have to dovetail with the government's commitment to maintaining fiscal discipline and not hold the central bank accountable for either the level or the volatility of the nominal exchange rate.

The Rajan committee formally presented its report to the prime minister in September 2008, shortly after I assumed office as governor. I was invited to that meeting as were some Cabinet ministers and advisers to the government. I recall that although the committee recommendations straddled a wide range of issues in the financial sector, almost the entire discussion at the meeting was on inflation-targeting. Opinion was quite varied on whether it was advisable for the Reserve Bank to shift to an inflation target given our macroeconomic circumstances. In any case, reaching a firm decision on the issue was not on the agenda of the meeting, and we dispersed with the issue of inflation-targeting remaining open-ended.

In my first year as governor, even as we were fully preoccupied with the crisis, I had frequently encountered questions on inflation-targeting. Would the Reserve Bank adopt inflation-targeting as suggested by Percy Mistry? Have the preconditions indicated by the Rajan report been met? Is it advisable for the Reserve Bank to move to inflation-targeting at a time when, world over, there is a rethink on its advisability? My response to